

INDIAN ECONOMY

**LEVEL
II**



TERMINOLOGY

MODULE - 1

1. CAPITALIST ECONOMY
2. LAISSEZ-FAIRE
3. STATE ECONOMY
4. MIXED ECONOMY

5. PUBLIC / SOCIAL GOODS
6. RENT SEEKING
7. PREDATORY PRICING
8. CRONY CAPITALISM

9. QUID PRO QUO
10. OPPORTUNITY COST
11. ECONOMIES OF SCALE
12. CROWD-FUNDING



ECONOMY LEVEL – I MODULES

KEY TERMINOLOGY

ECONOMY



- Economic Policy
- Fiscal Deficit
- Revenue Deficit
- Primary Deficit

MODULE - 24

- Public Debt
- Fiscal Policy
- Types of Fiscal Policy
- Fiscal Stimulus

ECONOMY LECTURES



FISCAL POLICY

MODULE - 24

24 + 24 ... ALREADY COMPLETED



ECONOMY LEVEL – II MODULES

INDIAN ECONOMY LEVEL II



TERMINOLOGY

MODULE - 1

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|------|------|-------|
| 1. — | 5. — | 9. — |
| 2. — | 6. — | 10. — |
| 3. — | 7. — | 11. — |
| 4. — | 8. — | 12. — |

12 MODULES

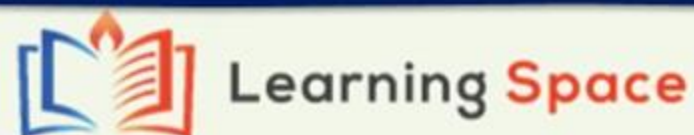
INDIAN ECONOMY LEVEL II



LECTURES

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| ■ _____ | MODULE - 1 |
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20 MODULES



POST INDEPENDENCE DEVELOPMENTS

LECTURES



MODULE - 1

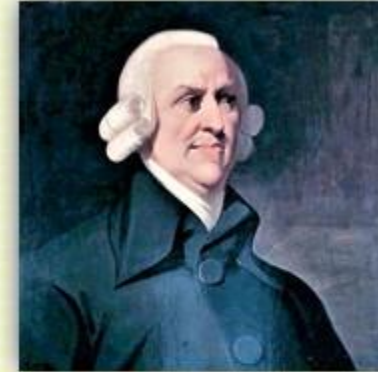


16 MODULES

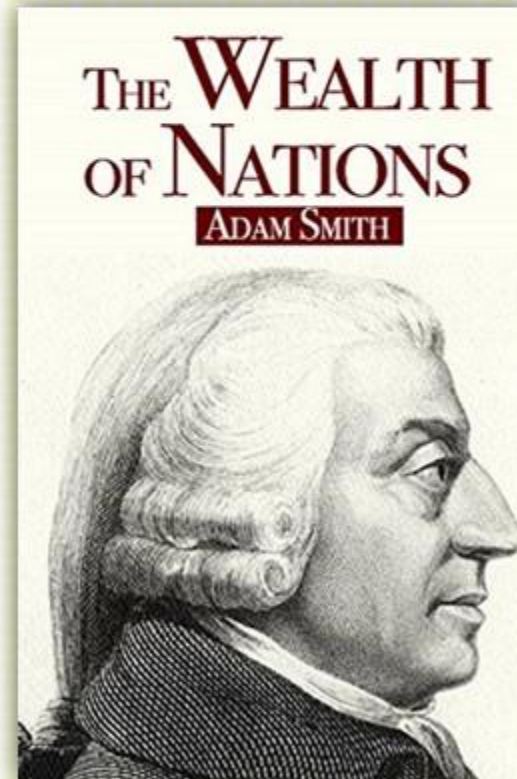
MODULE - 1**1****CAPITALIST ECONOMY****2****LAISSEZ-FAIRE****3****STATE ECONOMY****4****MIXED ECONOMY****5****PUBLIC / SOCIAL GOODS****6****RENT SEEKING****7****PREDATORY PRICING****8****CRONY CAPITALISM****9****QUID PRO QUO****10****OPPORTUNITY COST****11****ECONOMIES OF SCALE****12****CROWD-FUNDING**

1 CAPITALIST ECONOMY

- Origin is in “The Wealth of Nations (1776)” by Adam Smith.
- He stressed for an environment of laissez-faire (non interference by the State).
- His theory revolves around invisible hand of market forces, which brings a state of equilibrium in the economy.
- In USA, these were made part of the public policy in 18th Century.
- The decisions of what to produce, how much to produce and what price to sell are taken by the market with State having no economic role.



ADAM SMITH
Scottish Economist,
Philosopher



1980



2019

2

LAISSEZ-FAIRE

- In general sense, it is unwillingness to get involved in or influence other people's activities.
- From economics perspective, it is a theory or plan in which a Government does not have many laws or rules to control the buying and selling of goods and services.



The invisible hand of market forces brings a state of equilibrium in the economy and generate well-being for the people.

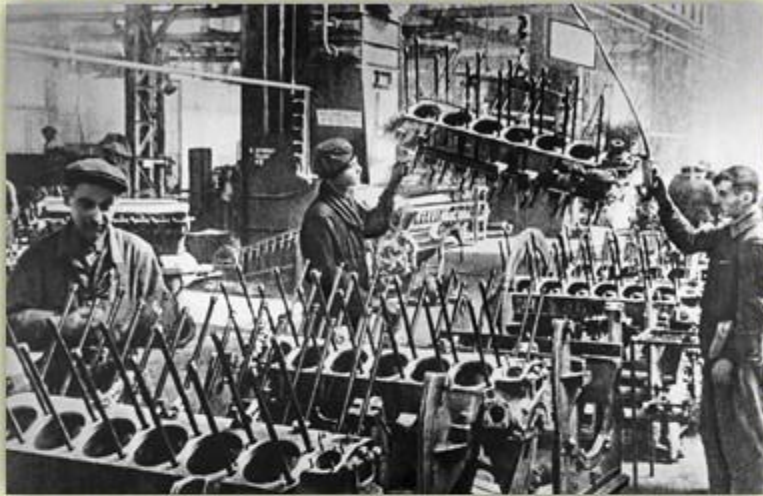


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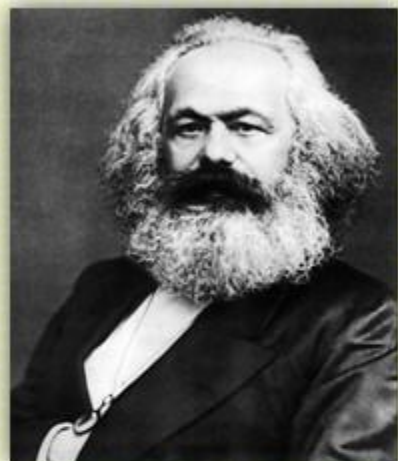
STATE ECONOMY

SOCIALIST ECONOMY

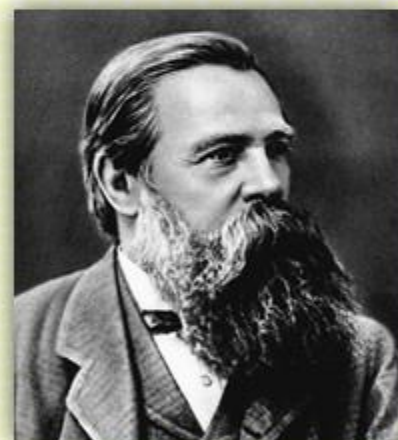
- It is based on public ownership, also known as collective or common ownership of the means of production i.e., machinery, tools and factories.
- It revolves around centralised planning.
- It ascribes large role to the State in running the economy, including distribution decisions.
- Idea is equal distribution of goods and services, move towards more equitable society.
- Individuals rely on the State, for everything from food to healthcare.
- The Government determines the output and pricing levels of these goods and services.
- The prime idea is production for use, rather than for profit.



This kind of economic system first came up in USSR after the Bolshevik Revolution in 1917. other examples are Nazi-Germany, Cuba, Venezuela etc.



KARL MARX
German Philosopher



FRIEDRICH ENGELS
German Philosopher

Communist manifesto was published in 1848. The ideology is total opposition to liberal democracy and capitalism. Example is China, prior to 1980s.

3

STATE ECONOMY

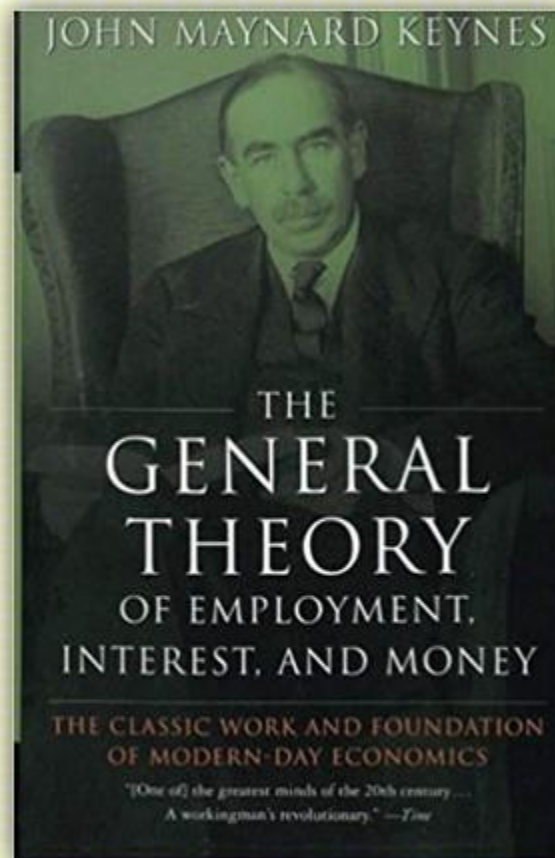
COMMUNIST ECONOMY

- Absolute power for the State in running the economy, including control on labour.
- Private property is non-existent or severely curtailed. The means of production are owned communally i.e., right to use resources are held by a community.
- It advocates classless system.
- The ultimate goal is people should live in social equilibrium without class distinctions, family structures, religion or property.
- The famous Marxist slogan is, “from each according to his ability to each according to his needs”.

Socialism is considered as transitional stage to communism, but it never did happen in reality!

4
MIXED ECONOMY

- John Maynard Keynes suggested strong Government intervention.
- As per Keynes, invisible hand could not bring equilibrium to the economy. Sometimes it goes against the interests of the poor. Economy may grow at its fullest potential, but people may still be unemployed.
- The capitalist countries moved towards mixed economies, to varying degrees, subsequent to Great Depression of 1930s.



JOHN MAYNARD KEYNES
Economist



The public / social goods, basically intended to guarantee minimum level of nutrition to all, healthcare, sanitation, education, social security, etc., were started across Euro-America from 1930s onwards.

5 PUBLIC / SOCIAL GOODS

- These are primarily required from the perspective of social justice and well-being of the people.
- Examples are ---
 - Education
 - Healthcare
 - Sanitation
 - Nutrition
 - Welfare of the old /disabled people
- Sometimes they may be given free or at subsidised prices.
- The cost is borne by the Government fully / partially.



6

RENT SEEKING

- This is the term used, when businesses instead of focusing on the production of goods and services, tries to get the Government to change the rules so that, it makes their businesses more profitable.
- We can say this is the behavior, which improves the welfare of someone, at the expense of someone else.

AN EXAMPLE!**COMPANY X****COMPANY Y****COMPANY Z**

7 PREDATORY PRICING

- It is the pricing policy of a firm, with the express intent of harming the rivals.
- Here, through massive price cutting / discounts, it tries to eliminate the rivals and subsequently, it increases the prices, when the competition is lost.



These companies are facing the criticism of predatory pricing!

8

CRONY CAPITALISM

- It is an economic system, where there is a nexus between the business class and the political class.
- The businesses thrive because of unholy / unethical nexus with the political class.



9

QUID PRO QUO

It is the situation, where the politician / bureaucrat gets some private benefits, when some contract / work is entrusted to a private person.



10

OPPORTUNITY COST

- It represents the benefits an individual, investor or business misses out on when choosing one alternative over another.
- It is the return of a foregone option less the return on your chosen option.



11

ECONOMIES OF SCALE

- Economies of scale are cost advantages reaped by companies, when production becomes efficient.
- Cost per unit depends on how much the company produces.
- It also depends on how easily it can scale-up.
- Economies of scale give rise to lower per-unit costs.



12

CROWD-FUNDING

- When small amounts of capital is taken from a large number of individuals to finance a new business venture. It is termed Crowd-funding.
- This term assumed prominence with the advent of social media and fintech companies.
- Kickstarter is the prominent Crowdfunding platform.

KICKSTARTER

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suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

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0866 244 44 72

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